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What Is Litigation Funding Coordination ?

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A Comprehensive Institutional Masterclass White Paper on Third-Party Litigation Funding (TPLF) Coordination, Arbitral Claim Monetisation, Legal Risk Syndication, Non-Recourse Structural Engineering, Champerty & Maintenance Jurisprudence under Indian Law, CPC Order 25 Rule 1(2) Security Protocols, Section 130 TPOA Actionable Claims, Escrow TRA Cash Waterfalls, GIFT City Special Situation AIF Architectures, and IBC 2016 Avoidance Claim Funding.

Table of Contents

Chapter Name	Page No
Chapter 1: Product Overview & Fundamentals of Litigation Funding Coordination	3
Chapter 2: How the Product Structure Works: Workflow, Structural Mechanics & Waterfalls	5
Chapter 3: Regulatory, Legal & Statutory Framework in India	7
Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks	9
Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation Suite	10
Chapter 6: Indicative Tenure, Pricing Structure & Return Math	12
Chapter 7: Suitable Industries, Claim Types & Business Profiles	13
Chapter 8: Key Advantages and Limitations Matrix	14
Chapter 9: Comprehensive Real-World Case Study (INR 250 Crore Infrastructure Arbitral Claim)	15
Chapter 10: Legal Enforcement, IBC 2016 Integration & Award Execution	18
Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)	19

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Chapter 1: Product Overview & Fundamentals of Litigation Funding Coordination

Litigation Funding Coordination—frequently designated in international and Indian specialized finance as Third-Party Litigation Funding (TPLF) Coordination or Legal Risk Capital Syndication—is a highly specialized corporate finance, legal risk management, and capital structuring discipline. It connects corporate claimants, commercial litigants, infrastructure developers, liquidators, and law firms with specialized institutional investors (including Special Situation Private Credit AIFs, offshore litigation finance funds, and family offices) to finance the costs of high-value commercial disputes, domestic and international arbitrations, breach of contract actions, and insolvency recovery claims.

At its core, Litigation Funding Coordination solves the fundamental problem of capital asymmetry in commercial disputes. Corporate entities often possess high-conviction legal claims—such as unpaid contractor claims against government departments, international supply agreement breaches, or intellectual property infringements—that run into tens or hundreds of Crores of Indian Rupees. However, pursuing these claims through multi-year arbitrations and court enforcement requires immense cash deployment for Senior Counsel retainers, arbitral tribunal deposits, forensic accounting fees, and court security deposits. Without dedicated legal capital, cash-strapped companies are frequently forced into premature, heavily discounted out-of-court settlements, or are attritioned out of court by deep-pocketed defendants.

In a non-recourse Litigation Funding Coordination structure, the third-party funder advances 100% of the capital required to prosecute the claim. If the litigation or arbitration fails and no monetary recovery is realized, the capital provider absorbs 100% of the loss; the claimant corporate owes zero principal or interest repayment. Conversely, if the claim succeeds and monetary damages or arbitral awards are realized, the funder recovers its invested capital plus a pre-agreed success return—typically structured as a Multiple on Invested Capital (2.0x to 4.0x MOIC) or a percentage share (20.0% to 40.0%) of net recovered proceeds.

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Comparative Taxonomy Matrix: Litigation Funding Coordination vs. Other Financial Products

Dimension	Litigation Funding Coordination	Traditional Bank Debt	Pure Contingency Legal Fees	Private Credit Special Situation Debt
Recourse Risk	100% Non-Recourse to Claimant Balance Sheet	100% Full Corporate & Promoter Recourse	Non-Recourse to Client	Full Corporate Recourse / Asset Security
Underwriting Basis	Legal Merits, Award Probability & Defendant Solvency	3-Yr Historical Cash Flows & Fixed Asset Mortgages	Case Merits & Law Firm Capacity	Asset Cover Ratio & Turnaround EBITDA Capacity
Return Structure	2.0x--4.0x MOIC or 20%--40% Award Recovery Share	Fixed Interest Rate (8.5%--11.5% p.a.)	30%--50% Contingency Fee (Prohibited in India for Advocates)	All-In YTM (15.0%--22.0% p.a. Cash/PIK)
Balance Sheet Impact	Off-Balance Sheet Monetisation & Expense Transfer	Increases Balance Sheet Leverage & Liabilities	Off-Balance Sheet Legal Expense	Increases Debt Leverage & DSRA Trapping

Insight: Litigation Funding Coordination provides a completely off-balance-sheet, non-recourse capital solution that eliminates legal expense drag on corporate P&L while monetizing latent legal claims—a structural advantage unavailable through traditional bank facilities or private credit.

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Chapter 2: How the Product Structure Works: Workflow, Structural Mechanics & Waterfalls

The operational architecture of Litigation Funding Coordination involves a tri-party relationship between the Corporate Claimant (the plaintiff or arbitral claimant), the Third-Party Funder (a Special Situation Private Credit AIF, GIFT City SPV, or Global Litigation Fund), and the Litigation Funding Coordinator (the legal risk architect). Because advocates in India are legally barred by Bar Council of India rules from funding litigation or accepting contingency fees, the Litigation Funding Coordinator serves as the crucial institutional bridge—conducting independent legal-financial due diligence, structuring non-recourse funding agreements, establishing escrow receiving mechanisms, and coordinating between Senior Advocates, forensic experts, and institutional capital providers.

The 6-Stage Transaction Lifecycle of Litigation Funding Coordination

- **Stage 1: Early Claim Screening & Case Merit Appraisal:** The Coordinator evaluates the commercial claim, analyzing underlying contracts, breach events, documented losses, and defendant solvency to establish an initial claim quantum (>INR 25 Crores) and minimum 10:1 Claim-to-Budget ratio.
- **Stage 2: Independent Senior Counsel Legal Opinion & Quantum Valuation:** Formal legal appraisal conducted by independent Senior Advocates / King's Counsel to evaluate legal liability, breach causality, evidence robustness, statutory limitation compliance, and expected arbitral award quantum.
- **Stage 3: Non-Recourse Funding Term Sheet & Structural Execution:** Executing the Litigation Funding Agreement (LFA), establishing non-recourse tranche disbursement schedules, success return multiples (2.5x--3.5x MOIC), and adverse cost risk mitigation.
- **Stage 4: SPV / Litigation Trust Setup & Escrow Ring-Fencing:** Creating a dedicated Escrow Trust & Retention Account (TRA) under Section 130 of the Transfer of Property Act 1882 to legally assign actionable claims and ring-fence future arbitral award proceeds.
- **Stage 5: Tranche Disbursement & Active Case Monitoring:** Phased release of capital directly to legal counsel, arbitral tribunal deposits, expert witness retainers, and court security deposits against pre-agreed litigation milestones.
- **Stage 6: Arbitral Award / Judgment Execution, Recovery Sweep & Distribution:** Upon award issuance or court decree, managing Section 36 execution proceedings, sweeping proceeds into the Escrow TRA account, and executing the statutory distribution waterfall.

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Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

All monetary proceeds resulting from an arbitral award, court judgment, or negotiated pre-trial settlement are deposited directly into a designated Escrow TRA Nodal Account managed by a SEBI-registered Escrow Trustee. The cash waterfall follows a strict legal priority structure:

Priority	Waterfall Level	Distribution & Cash Flow Mechanism
Priority 1	**Statutory Taxes & Court Costs**	Disbursement of applicable GST/TDS, court fees, and pending arbitral tribunal administrative fees.
Priority 2	**100% Capital Return to Funder**	Full reimbursement of all non-recourse capital deployed by the Third-Party Funder across all tranches.
Priority 3	**Funder Uplift / Success Return**	Payment of pre-agreed MOIC multiplier (e.g., 2.0x--3.0x invested capital) or percentage share (20%--35%).
Priority 4	**Coordinator Success Fee**	Payment of success fee to the Litigation Funding Coordinator (1.0%--3.0% of net recovered proceeds).
Priority 5	**Claimant Net Cash Release**	Transfer of 100% remaining net surplus cash proceeds to the corporate claimant's operational bank account.

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Chapter 3: Regulatory, Legal & Statutory Framework in India

A thorough understanding of Indian jurisprudence regarding Third-Party Litigation Funding is essential for financial professionals. Historically derived from English common law doctrines of Champerty and Maintenance, third-party funding faced initial skepticism. However, Indian courts have established a distinct, highly progressive legal stance that explicitly permits third-party litigation financing.

1. Validity of Champerty & Maintenance under Indian Law

Unlike English common law, the rigid doctrines of Champerty (funding litigation in exchange for a share of proceeds) and Maintenance (funding litigation without a personal interest) were never applied to India. In the landmark Privy Council ruling in Ram Coondoo v. Vantooney (1876), it was held that agreements to fund litigation in exchange for a portion of the recovered property are legally valid and enforceable under Indian contract law, provided they are fair, reasonable, and not extortionate or opposed to public policy under Section 23 of the Indian Contract Act, 1872. This legal principle was reaffirmed by the Supreme Court of India in Bar Council of India v. A.K. Balaji (2018), where the apex court explicitly recognized that third-party litigation funding is legal in India.

2. Code of Civil Procedure (CPC) Order 25 Rule 1(2) Amendments

State amendments to the Code of Civil Procedure (CPC), 1908—specifically Order 25 Rule 1(2) as amended in states including Maharashtra, Madhya Pradesh, Karnataka, and Tamil Nadu—explicitly recognize third-party litigation funders. These statutory provisions empower civil courts to order a third-party funder to be made a party to the suit and to deposit security for payment of all costs incurred or likely to be incurred by the defendant, ensuring that litigation funding operates transparently and prevents frivolous harassment suits.

3. Bar Council of India (BCI) Advocates Rules & Fee Boundaries

Under Rules 20 and 22 of the Bar Council of India Rules (framed under the Advocates Act, 1961), practicing advocates and law firms in India are strictly prohibited from entering into contingency fee agreements or acquiring a financial interest in the subject matter of the litigation they conduct. This statutory prohibition creates a clear distinction between legal advocates and third-party funders: lawyers must charge standard professional fees on a non-contingent basis, while independent Third-Party Funders (and Coordinators) supply non-recourse investment capital and absorb financial risk.

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4. Transfer of Property Act (TPOA) Section 130 & Actionable Claims

Under Section 130 of the Transfer of Property Act, 1882, a monetary claim, arbitral award proceed, or breach of contract claim constitutes an 'Actionable Claim'. A corporate claimant can legally assign its beneficial interest in the proceeds of a claim or award to a litigation trustee or escrow account via an executed Deed of Assignment, providing absolute legal priority and enforceability over award recoveries.

5. Arbitration and Conciliation Act, 1996 & Award Enforcement

Governed by the Arbitration and Conciliation Act, 1996 (as amended in 2015, 2019, and 2021), domestic and international arbitrations provide the primary venue for litigation funding. Section 9 enables interim measures of protection (including orders to secure award amounts in escrow), Section 31A enforces statutory cost-shifting rules where the losing party pays legal costs, and Section 36 enforces arbitral awards directly as decrees of a civil court, streamlining recovery execution.

6. SEBI Category II AIF & GIFT City IFSC SPV Architectures

Institutional litigation funding in India is routed through SEBI-registered Category II Alternative Investment Funds (AIFs) under Special Situation / Private Credit mandates or through International Financial Services Centre (IFSC) SPVs in GIFT City, Gujarat. Category II AIFs enjoy full tax pass-through status under Section 115UB of the Income Tax Act, 1961, while GIFT City SPVs enable seamless cross-border funding for international commercial arbitrations.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Third-party litigation funding is an intensive, high-conviction asset class. Funders accept 100% non-recourse risk, meaning underwriting is far more rigorous than standard commercial bank lending. The underwriting process evaluates the legal merits of the dispute, quantum economics, counsel quality, and defendant solvency.

Quantitative & Qualitative Underwriting Benchmarks Table

Underwriting Dimension	Institutional Benchmark	Underwriting Rationale & Risk Mitigation
Minimum Claim Quantum Floor	INR 25.00 Crores to INR 500.00+ Crores	Ensures transaction scale justifies high initial due diligence and legal appraisal expenses.
Claim-to-Budget Ratio	Minimum 10:1 (Preferred 15:1 to 20:1)	Ratio of expected recovery to total legal budget; ensures funder receives 2.5x MOIC without depleting claimant recovery.
Probability of Success	Minimum 70%--75%+ Legal Win Probability	Validated by independent Senior Counsel / KC legal opinion analyzing liability, causality, and evidence.
Defendant Solvency & Asset Liquidity	Sovereign / PSU / AAA-BBB Corporate Defendant	Non-recourse risk requires defendant to possess tangible, seizable unencumbered assets post-award.
Estimated Resolution Horizon	18 to 48 Months (Arbitration + Enforcement)	Prevents yield drag; matches Category II AIF investment horizons.
Claimant Co-Investment / Skin in Game	10%--20% Legal Cost Sharing or Collateral	Aligns incentives; ensures claimant maintains operational cooperation throughout multi-year proceedings.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation Suite

Because litigation funding is legally non-recourse to the corporate claimant's general balance sheet, security ring-fencing focuses on securing exclusive, unencumbered rights over the legal claim, arbitral award proceeds, and settlement inflows.

The 5-Pillar Security Architecture

1. Deed of Assignment of Actionable Claims (TPOA Section 130): Legal assignment of beneficial interest in all current and future arbitral awards, court decrees, and negotiated settlement proceeds to an Escrow Trust.

2. Exclusive Escrow Trust & Retention Account (TRA): SEBI-registered Escrow Account with irrevocable payment instructions served upon the arbitral tribunal, defendant, and bank, directing 100% of recovery payments into the TRA account.

3. Pledge of Special Purpose Litigation SPV Equity Shares: 100% demat pledge of shares of any dedicated SPV established to hold the litigation claim, preventing unauthorized transfers.

4. Irrevocable Power of Attorney (POA) for Award Execution: Execution of an irrevocable POA authorizing the funder / trustee to initiate Section 36 award execution proceedings if the claimant defaults on cooperation.

5. After-the-Event (ATE) & Adverse Cost Insurance Policies: Insurance policies indemnifying the funder and claimant against court-ordered adverse cost orders under Order 25 CPC or Section 31A Arbitration Act if the claim is dismissed.

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Master Legal Documentation Suite

Legal Document	Signatory Parties	Core Structural Covenants & Legal Purpose
Litigation Funding Agreement (LFA)	Claimant, Funder & Coordinator	Defines non-recourse funding commitment, tranche milestones, MOIC/IRR waterfall, and non-interference rules.
Deed of Assignment of Actionable Claims	Claimant & Escrow Trustee	Statutory assignment of proceeds under Section 130 TPOA; perfects funder's priority security interest.
Escrow & TRA Agreement	Claimant, Funder, Escrow Bank & Trustee	Establishes lockbox receiving account and enforces Section 53 priority cash waterfall.
Senior Counsel Advisory Mandate	Claimant, Law Firm & Funder	Confirms non-contingent fee structure compliant with BCI Rule 20/22; establishes independent legal reporting.
Case Control & Settlement Covenant	Claimant & Funder	Prohibits claimant from settling claim below pre-agreed floor price without funder consent.

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Chapter 6: Indicative Tenure, Pricing Structure & Return Math

The indicative tenure of a Litigation Funding facility directly mirrors the timeline required to resolve the underlying dispute and enforce the resulting award or judgment. In India, domestic commercial arbitrations under the 2015/2019 amended Arbitration Act carry a statutory 12-to-18 month completion mandate, while court enforcement under Section 36 typically adds 12 to 24 months—establishing an average transaction horizon of 24 to 48 months (2.0 to 4.0 years).

The All-In Funder Return Equation

> **All-In Funder Return = Greater of [(2.0x to 3.5x MOIC on Deployed Capital) OR (20.0% to 40.0% Share of Net Recovered Award Proceeds)]**

To protect against extended litigation delays, funding agreements incorporate time-based MOIC escalators. For example, if the claim resolves within 18 months, the funder return is set at 2.0x MOIC; if resolution extends to 36 months, the return escalates to 2.8x MOIC; and if resolution extends to 48 months, the return escalates to 3.5x MOIC. This dynamic pricing structure aligns investor returns with capital duration while compensating funders for non-recourse risk.

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Chapter 7: Suitable Industries, Claim Types & Business Profiles

Litigation Funding Coordination is particularly well-suited for capital-intensive, contract-heavy sectors where commercial disputes involve large monetary claims against creditworthy defendants.

Industry Sector	Typical Dispute & Claim Archetype	Core Financial & Legal Rationale
Infrastructure & Construction EPC	Unpaid RA bills, unlawful termination, delay damages against NHAI, CPWD, Railways, or State PWDs.	Sovereign/PSU defendants eliminate default risk; claims are large (INR 50 Cr--500 Cr+).
Commercial Contracts & JVs	Breach of joint venture agreements, shareholder buyouts, supply contract terminations.	Clear contractual damages and evidence; creditworthy corporate defendants.
Intellectual Property (IP) & Tech	Patent infringement, software piracy, trade secret theft against MNCs or large tech platforms.	High damages potential; enables resource-constrained tech inventors to fight deep-pocketed MNCs.
Insolvency & Bankruptcy (IBC 2016)	Section 43 (Preferential), Section 45 (Undervalued) & Section 66 (Fraudulent Trading) applications.	Enables Resolution Professionals (RPs) and Liquidators to recover stolen assets for creditors without cash.
Cross-Border Trade & Anti-Trust	International commercial arbitrations (SIAC, LCIA, MCIA), cartel damages, export disputes.	High-value international claims suitable for GIFT City IFSC SPV structures.

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Chapter 8: Key Advantages and Limitations Matrix

Key Advantages of Litigation Funding Coordination	Structural Limitations & Risk Factors
100% Non-Recourse Risk Transfer: If the claim fails, the corporate claimant owes zero debt or capital repayment.	High Return Cost: Success multiples (2.5x--3.5x MOIC or 20%--40% share) are higher than bank loan interest rates.
Off-Balance-Sheet P&L Preservation: Legal costs are removed from corporate P&L, protecting operating EBITDA margins.	Indian Court Enforcement Delays: Section 36 award execution in Indian civil courts can take 12 to 24 months.
Monetization of Latent Legal Assets: Transforms dormant legal claims into substantial cash recoveries.	High Underwriting Rejection Rate: Funders reject 85%--90% of submitted claims due to strict merit/solvency filters.
Levels the Playing Field: Enables smaller companies to fight deep-pocketed corporate or state defendants without fear of attrition.	BCI Advocate Restrictions: Indian lawyers cannot accept contingency fees; requires independent funder structures.
Professional Case Validation: Due diligence by funders and Senior Counsel provides objective validation of claim merits.	Case Control Boundaries: Funders require covenants prohibiting low-ball settlements without funder approval.

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Chapter 9: Comprehensive Real-World Case Study (INR 250 Crore Infrastructure Arbitral Claim)

To illustrate the practical application, risk mitigation, and financial waterfall of Litigation Funding Coordination in India, consider the case of Vanguard EPC & Infrastructure Projects Limited (Vanguard), a mid-tier infrastructure contractor.

1. Background & Transaction Context

Vanguard executed a major 4-lane state highway expansion project valued at INR 1,200.00 Crores for the State Road Development Corporation (SRDC). Due to delayed land acquisition, unbilled utility shifts, and unlawful contract termination by SRDC, Vanguard suffered massive financial loss. Vanguard filed a formal arbitration claim against SRDC claiming INR 250.00 Crores for certified unpaid Running Account (RA) bills, wrongful termination damages, machinery idle costs, and statutory interest. However, SRDC froze Vanguard's working capital bank accounts, leaving Vanguard unable to pay the estimated INR 35.00 Crores required for Senior Counsel fees, arbitral tribunal deposits, engineering expert witnesses, and court execution proceedings over a 3-year horizon.

2. Litigation Funding Coordination Structure

The Litigation Funding Coordinator structured an INR 35.00 Crore Non-Recourse Litigation Funding Facility from a GIFT City Category II Special Situation AIF. The funder agreed to advance 100% of legal and arbitral costs (INR 35.00 Crores) in 4 phased milestone tranches. In exchange, the funder secured a non-recourse return structure set at the Greater of 3.0x MOIC (INR 105.00 Crores) OR 30.0% of Net Recovered Proceeds. Security was perfected via a Section 130 TPOA Deed of Assignment over the arbitral claim proceeds and an Escrow TRA Nodal Account.

3. 3-Year Litigation & Financial Amortization Performance Table

Timeline	Litigation Stage & Milestones	Capital Deployed by Funder	Arbitral Award / Recovery Sweep	Waterfall Distribution & Net Cash Release
Month 1--6	Pleadings, Statement of	INR 10.00 Cr (Tranche 1)	INR 0.00 Cr	Funder finances legal counsel & tribunal fees.

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	Claim & Tribunal Setup			
Month 7--18	Evidentiary Hearings & Cross-Examination	INR 15.00 Cr (Tranche 2)	INR 0.00 Cr	Expert witness testimony & tribunal submissions completed.
Month 19--24	Final Award Issued by Arbitral Tribunal	INR 5.00 Cr (Tranche 3)	INR 285.00 Cr Award (Incl. 10% Interest)	Tribunal awards INR 250 Cr principal + INR 35 Cr statutory interest against SRDC.
Month 25--36	Section 36 Execution & SRDC Treasury Sweep	INR 5.00 Cr (Tranche 4)	INR 285.00 Cr Cash Rec. into Escrow TRA	Section 36 execution decree enforced; SRDC treasury deposits INR 285 Cr into Escrow TRA.

4. Final Cash Waterfall Distribution Summary

- **Gross Arbitral Award Collections Swept into Escrow TRA:** INR 285.00 Crores
- **Less: Arbitral Tribunal Fees, Taxes & Court Costs (Priority 1):** (INR 5.00 Crores)
- **Less: Funder Capital Returned + 3.0x MOIC Success Return (Priority 2 & 3):** (INR 105.00 Crores)
- **Less: Litigation Funding Coordinator Success Fee (Priority 4):** (INR 5.25 Crores)
- **Net Cash Surplus Released to Vanguard EPC (Priority 5):** INR 174.75 Crores

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Financial Outcome: Without litigation funding, Vanguard would have been forced to abandon its claim or accept an oppressive INR 30 Crore settlement. Through Litigation Funding Coordination, Vanguard monetized its claim, paid zero out-of-pocket legal expenses, and realized INR 174.75 Crores in net cash surplus—restoring its balance sheet, clearing all supplier dues, and winning new infrastructure contracts.

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Chapter 10: Legal Enforcement, IBC 2016 Integration & Award Execution

Litigation funding plays a pivotal role in corporate insolvency under the Insolvency and Bankruptcy Code (IBC), 2016. During Corporate Insolvency Resolution Processes (CIRP) or liquidation proceedings, Resolution Professionals (RPs) and Liquidators frequently identify substantial avoidance applications under Section 43 (Preferential Transactions), Section 45 (Undervalued Transactions), Section 50 (Extortionate Credit), and Section 66 (Fraudulent Trading) against former promoters or third parties.

However, insolvent corporate debtors lack operational cash to pay legal fees to pursue these clawback applications. Litigation Funding Coordination enables RPs and Liquidators to raise non-recourse litigation capital (classified as Interim Finance under Section 5(13) of the IBC) to aggressively litigate avoidance claims. Any proceeds recovered from fraudulent promoters flow directly into the liquidation estate for distribution to financial creditors under the Section 53 waterfall.

Arbitral Award Enforcement under Section 36 of Arbitration Act

Following the 2015 amendments to Section 36 of the Arbitration and Conciliation Act, filing a Section 34 challenge against an arbitral award no longer operates as an automatic stay on award execution. Courts require the challenging party (the losing respondent) to deposit 100% of the awarded amount (or a substantial portion) in court as a condition for granting a stay. This statutory reform significantly enhances the speed of award monetisation for litigation funders and corporate claimants in India.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This masterclass examination tests full comprehension of Litigation Funding Coordination, legal jurisprudence under Indian law, underwriting benchmarks, regulatory frameworks, escrow cash waterfalls, and risk management mechanics. A finance professional or student should be capable of answering all 15 scenario-based test questions below.

Q1: What is the defining financial characteristic of Third-Party Litigation Funding Coordination compared to corporate debt?

A1: The defining characteristic is that Litigation Funding is 100% non-recourse to the claimant's general balance sheet. If the legal claim or arbitral proceeding fails, the corporate claimant owes zero principal or interest repayment to the funder. The funder absorbs 100% of the financial loss.

Q2: Is Champerty and Maintenance legal under Indian law?

A2: Yes. Unlike English common law, doctrines of Champerty and Maintenance were never applied to India. The Privy Council (Ram Coondoo v. Vantooney, 1876) and Supreme Court of India (Bar Council of India v. A.K. Balaji, 2018) explicitly established that agreements to fund litigation in exchange for a portion of recovered proceeds are valid and enforceable under Indian contract law, provided they are fair and not extortionate.

Q3: Why can advocates in India not accept contingency legal fees directly from clients?

A3: Under Rules 20 and 22 of the Bar Council of India (BCI) Rules, practicing advocates are strictly prohibited from entering into contingency fee agreements or buying a financial interest in their clients' litigation. This makes independent Third-Party Funders and Coordinators essential to provide non-recourse legal capital.

Q4: What statutory provisions in the Code of Civil Procedure (CPC) explicitly recognize third-party litigation funders?

A4: Order 25 Rule 1(2) of the CPC (as amended in states like Maharashtra, MP, Karnataka, and Tamil Nadu) explicitly recognizes third-party funders and authorizes civil courts to order third-party funders to be made a party to the suit and deposit security for court costs.

Q5: What is the minimum recommended Claim-to-Budget ratio for litigation funding underwriting?

A5: The minimum recommended Claim-to-Budget ratio is 10:1 (preferred 15:1 to 20:1). This ensures that the expected claim recovery is at least 10 times the total legal budget, allowing

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the funder to achieve its 2.5x--3.5x MOIC return without depleting the claimant's net recovery.

Q6: How are legal claims assigned to funders under Indian property law?

A6: Legal claims and arbitral proceeds constitute 'Actionable Claims' under Section 130 of the Transfer of Property Act (TPOA), 1882. Claimants execute a Deed of Assignment assigning beneficial rights in award proceeds to an Escrow Trust.

Q7: What is the typical return structure for a litigation funder in a successful commercial arbitration?

A7: The return is typically structured as the Greater of a Multiple on Invested Capital (2.0x to 4.0x MOIC) OR a percentage share (20.0% to 40.0%) of net recovered proceeds, often incorporating time-based MOIC escalators.

Q8: How does an Escrow TRA Cash Waterfall distribute arbitral award recoveries?

A8: The waterfall distributes funds in strict priority: (1) Statutory taxes, court costs & tribunal fees, (2) 100% capital reimbursement to funder, (3) Funder MOIC/IRR success uplift, (4) Coordinator success fee, and (5) 100% remaining net cash surplus to claimant.

Q9: What role does Litigation Funding play in corporate insolvency under IBC 2016?

A9: Litigation funding provides non-recourse capital (Interim Finance under Section 5(13) IBC) to Resolution Professionals and Liquidators to pursue Section 43/45/50/66 avoidance and fraudulent trading applications against former promoters, recovering assets for creditors.

Q10: What is After-the-Event (ATE) Insurance in litigation funding?

A10: ATE Insurance is a legal cost indemnity policy that protects the funder and claimant against court-ordered adverse cost orders under Order 25 CPC or Section 31A Arbitration Act if the litigation is unsuccessful.

Q11: Through what institutional investment vehicles is litigation funding capital routed in India?

A11: Capital is primarily routed through SEBI-registered Category II Alternative Investment Funds (AIFs) under Special Situation / Private Credit mandates or through International Financial Services Centre (IFSC) SPVs in GIFT City, Gujarat.

Q12: What statutory change in Section 36 of the Arbitration Act in 2015 accelerated arbitral award monetisation?

A12: The 2015 amendment eliminated automatic stays on arbitral award execution upon filing a Section 34 challenge. Courts now require challenging parties to deposit 100% of the awarded amount in court, enabling faster execution.

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Q13: Why are infrastructure EPC claims against government departments highly attractive for litigation funding?

A13: Sovereign/PSU defendants (NHAI, CPWD, State PWDs) carry near-zero default risk, and claims are large (INR 50 Cr--500 Cr+), eliminating defendant solvency risk for non-recourse funders.

Q14: How does Litigation Funding Coordination impact a corporate claimant's balance sheet?

A14: It provides completely off-balance-sheet financing. Legal expenses are removed from the P&L (preserving operating EBITDA), no debt liabilities are added to the balance sheet, and contingent legal assets are converted into cash recoveries.

Q15: What is the primary function of a Litigation Funding Coordinator?

A15: The Coordinator acts as the central legal-financial architect—conducting initial claim screening, managing Senior Counsel appraisals, structuring non-recourse LFAs and Escrow TRAs, syndicating capital from AIFs, and managing the award recovery waterfall.

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